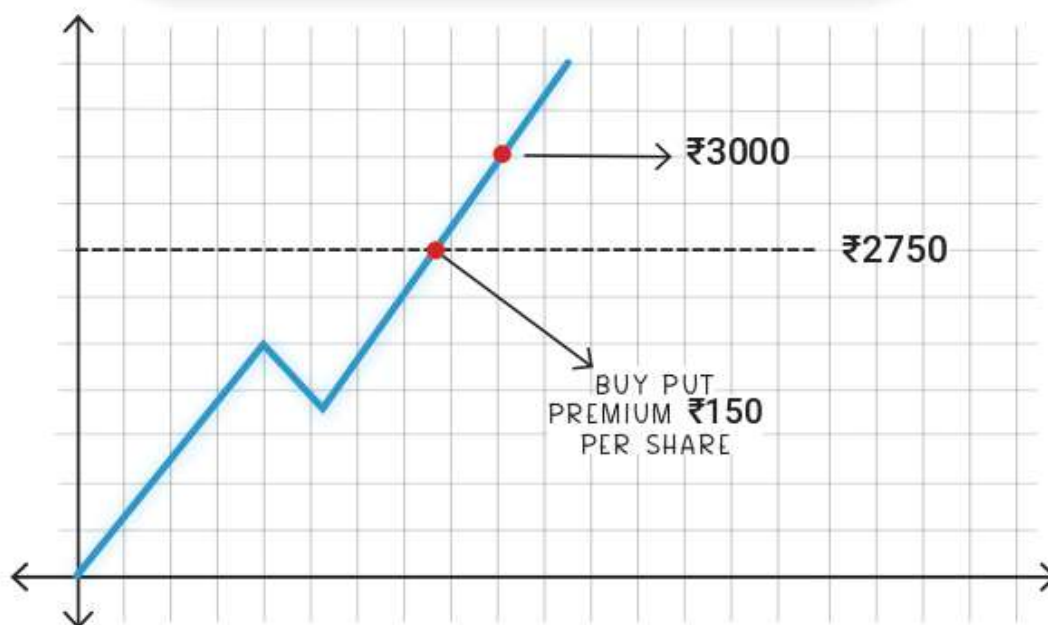




Let us look at another example here,
A man buys 100 shares of Asian Paints at ₹3000 with the expectation that the price will increase. Therefore, he hedges his position by buying a put option at

STRIKE PRICE	PREMIUM
₹2750	₹150



Let's assume 2 scenarios,

CURRENT MARKET PRICE (CMP)	NET PROFIT/ LOSS	EXPLANATION
₹4000	Net Profit = ₹4000 – ₹3000 – ₹150 = ₹850	Since, the price rises by ₹1000, the Net profit is ₹850 per share.
₹2000	Profit = Strike – CMP – Premium = ₹2750 – ₹2000 – ₹150 = ₹600 Net Loss = ₹3000 – ₹2000 – ₹600 = ₹400	Since, the price has declined, the put option will protect from losses. The net loss is capped at ₹400 per unit here.